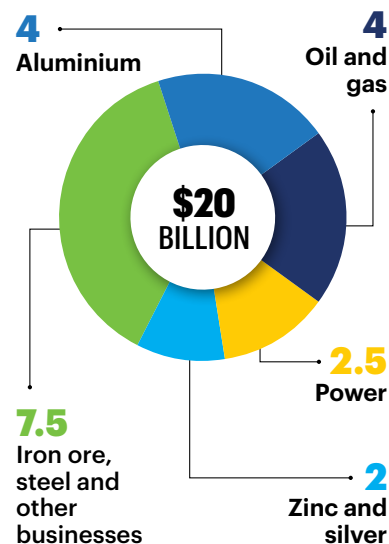




COVER STORY VEDANTA

WHERE WILL THE \$20 BILLION GO

Capex (in \$billion)



SOURCE INVESTOR PRESENTATION

fifth-largest private thermal power producer. Vedanta Iron & Steel, meanwhile, benefits from strategically located assets near key raw materials and ports, while its copper business has a diversified asset base across markets where demand remains strong. The strengths of these businesses are complemented by an improving commodity cycle.

Can Agarwal succeed at his new gambit, considering that he is in a highly cyclical business that is also full of regulatory minefields?

A TOUGH CODE TO CRACK

Natural resources entail patience, perseverance and the ability to accept bad news at any point. "For any business here, there is a ten-year gestation. One just has to be at it," says Agarwal.

Despite the complexity of the business, Agarwal speaks in simple, direct terms. He agrees there is a demand-supply gap. "That is our sweet spot. Not many people can come in and play this game," he says. To

highlight the point, he talks about metals. "Globally, there are no more than 15-20 players. India has five-six (metal players). The fact is that not all metal companies last."

Agarwal, on multiple occasions, through the conversation, emphasises how India competes well in the global markets. "Just look at our costs in aluminium, zinc, steel, power and steel. Nobody can beat us on any of this," he says.

Agarwal believes natural resources can easily propel a nation's growth. "We have seen how the US, Middle East and Australia have gone about it. Our time has come," he says quite firmly.

According to Rakesh Arora, Managing Partner, Go India Advisors and a long-time industry tracker, the decision to demerge Vedanta Ltd could be driven by debt at Vedanta Resources. That has reduced from \$8.9 billion (in FY22) to \$4.7 billion at the end of FY26. Arora thinks that is "meaningful deleveraging", even as Vedanta Ltd's own net debt to EBITDA (earnings